THE
ANNOUNCEMENT ROOM
WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

GARDA PROPERTY GROUP (ASX: GDF) PROPERTY PORTFOLIO SALE AND FY27 GUIDANCE UPGRADE | ASX ANNOUNCEMENTS
RELEASED 22 OCT 2026

Garda lines up A$350.8m sale of all nine properties and lifts FY27 guidance to 12.5 cps

Garda Property Group has contracted to sell its seven remaining investment properties to a Charter Hall managed fund for A$300.0m. With the earlier Heathwood and Pinkenba sales (A$50.8m), gross proceeds across all nine properties are A$350.8m, about 1.4% below their A$355.9m carrying value. Garda also raised FY27 guidance and says its Board currently intends to pay special distributions of about 10.0 cents per security.

A$350.8m	12.5 cps	~10.0 cps	A$321.0m
Gross sale proceeds	**FY27 FFO guidance**	**Intended special dist.**	**Investable capital**
Nine properties	Guidance, up from 10.5 cps	Board intention only	Pro forma estimate

WHAT WAS ANNOUNCED

1 The sale

A Charter Hall fund buys seven properties for A$300.0m. Heathwood (A$17.5m) and Pinkenba (A$33.3m) were announced on 29 and 28 September 2026. ASX has given in-principle advice that no securityholder vote is needed. Settlements are expected between November 2026 and March 2027.

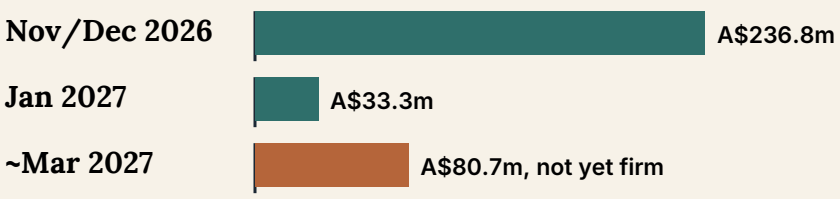
2 What is firm and what is not

Six of the seven Charter Hall properties (A$219.3m) are listed as unconditional, as are Heathwood (sold to a different buyer) and Pinkenba. Morningside (A$80.7m, 23% of proceeds) is listed as subject to due diligence, is still under construction and settles on completion, around March 2027. Garda's presentation allows A$10.9m of cost to complete the Morningside expansion, so that sale depends on the build finishing. Unconditional in total: A$270.1m of A$350.8m (77%).

3 Where the money goes (pro forma)

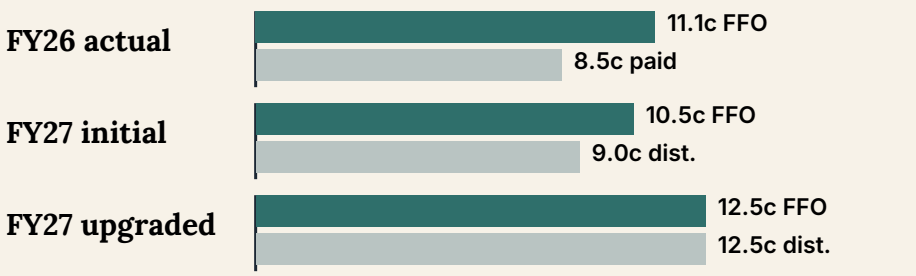
Garda expects to repay its syndicated debt facility in full (currently drawn A$185.3m), reach 0% gearing and hold about A$176.6m of surplus cash. With A$144.4m of existing loan receivables that is about A$321.0m to invest (company estimates).

WHEN THE A$350.8M IS EXPECTED TO SETTLE



Nov/Dec: Heathwood (20 Nov) and the Charter Hall properties other than Morningside (20 Nov in the announcement, 1 Dec in the presentation's tax table). Jan: Pinkenba (22 Jan). Orange: Morningside, on completion of construction.

FFO AND DISTRIBUTIONS PER SECURITY (CENTS)



FY26 actual is reported. FY27 bars are company guidance. FFO = funds from operations.

What the company does. Garda Property Group owned investment property and provides real estate lending. After these sales it expects real estate lending to be its primary use of capital.

Sources: Garda Property Group ASX announcements dated 21 Oct 2026 and released 22 Oct 2026 (Sydney): "$300 million portfolio divestment and guidance upgrade" (ASX 03155569), "Capital gains tax and 10 cps special distribution" (ASX 03155570) and "Portfolio divestment presentation" (ASX 03155572); Garda announcements of 28 and 29 Sep 2026; Appendix 4E and Annual Results Presentation, 30 Jul 2026. A$ unless stated. Share price moves are not used in this report.

Why it matters: the next chapter depends on how about A$321m is put to work

KEEP THESE APART: REPORTED, GUIDED, INTENDED

Reported or contracted
Sale prices and contract status. FY26 actual FFO 11.1 cps, distributions 8.5 cps, payout 77.0%. NTA per security A$1.64 at 30 Jun 2026.

Company guidance
FY27 FFO 12.5 cps and distributions 12.5 cps, a payout target of about 100%. Subject to earlier assumptions and the sales completing broadly on timetable.

Board intention or estimate
Special distributions of about 10.0 cps (7.3 cps Dec 2026 quarter, 2.7 cps Mar 2027 quarter), subject to settlement, tax calculations, cash reserves and Board approval.

THREE RELATIONSHIPS WORTH KNOWING

1 Higher guidance, smaller earnings base

Garda's ASX Listing Rule 11.1 table (illustrative, on FY26 audited figures) shows the sales shrink the earnings base. The announcement does not bridge this to the higher FFO guidance.

	FY26	After sales	Change
Annual revenue	A$49.0m	A$20.9m	-57.3%
EBITDA	A$27.1m	A$16.0m	-41.0%
Profit before tax	A$24.5m	A$7.9m	-67.5%
Total assets / equity	A$500.6m / A$329.9m	A$336.0m / A$326.7m	-32.9% / -1.0%

2 A higher payout, and a different kind of income

Garda says distributions will no longer include tax-advantaged income from property tax depreciation benefits, so it intends to distribute substantially all FFO. FFO guidance rose 19% but distribution guidance rose 39% because the payout moves from about 86% (9.0 / 10.5, our calculation) to 100% (12.5 / 12.5).

3 Price versus value: how NTA moves from A$1.65 to A$1.56

Net tangible assets (NTA) per security were A$1.64 at 30 June 2026 (reported) and A$1.65 at 30 September 2026 on the company's balance sheet. Garda's pro forma NTA after all sales is A$1.56, before the special distributions. Pro forma net assets are A$313.8m against A$332.1m at 30 September, a fall of A$18.3m. Garda says A$1.56 is 52% above the A$1.025 close on 20 October 2026 (company figure). The ~10.0 cps special distribution is an intention, not a declared one.

WHAT TO WATCH

Morningside
A$80.7m is subject to due diligence and under construction, with A$10.9m of cost to complete. Settlement on completion around March 2027; Garda notes it is subject to any construction delays.

Settlement dates
Other Charter Hall properties: 20 Nov (announcement) or 1 Dec (presentation). The documents differ.

Special distribution
Final amount, timing and Board approval.

Deployment
No timetable or target return is given for the A$176.6m.

TAR TAKE

Garda is changing from a property owner into a cash-rich allocator of capital (lending is its stated primary use of funds). The firm part is the sales: 77% of proceeds is already unconditional, at close to carrying value. What still has to be shown is Morningside reaching completion, how the settlements run to timetable, what the redeployed money earns, and how FY27 guidance of 12.5 cps fits with a much smaller pro forma earnings base. This is TAR's interpretation, not a company statement.

Sources: Garda ASX announcements dated 21 Oct 2026, released 22 Oct 2026 (Sydney): ASX 03155569, 03155570 and 03155572; Garda announcements of 28 and 29 Sep 2026; Appendix 4E and Annual Results Presentation, 30 Jul 2026. Pro forma and per-security figures are company estimates. TAR calculations: growth = (new / old - 1) x 100; A$270.1m = 219.3 + 17.5 + 33.3; 77% = 270.1 / 350.8; 23% = 80.7 / 350.8; A$18.3m = A$332.1m - A$313.8m. cps = cents per security. A$ unless stated. General information only. Not financial advice.